

answer. It still depended on customers signing up, verifying their voter status, and referring their friends, but the growth model changed. Instead of relying on an engagement-driven business (“sticky” growth), @2gov was more transactional. David’s hypothesis was that passionate activists would be willing to pay money to have @2gov facilitate contacts on behalf of voters who cared about their issues.

David’s new MVP took four months and another \$30,000. He’d now spent a grand total of \$50,000 and worked for twelve months. But the results from his next round of testing were dramatic: registration rate 42 percent, activation 83 percent, retention 21 percent, and referral a whopping 54 percent. However, the number of activists willing to pay was less than 1 percent. The value of each transaction was far too low to sustain a profitable business even after David had done his best to optimize it.

Before we get to David’s next pivot, notice how convincingly he was able to demonstrate validated learning. He hoped that with this new product, he would be able to improve his leap-of-faith metrics dramatically, and he did (see the chart below).

	BEFORE PIVOT	AFTER PIVOT
Engine of growth	Sticky	Paid
Registration rate	17%	42%
Activation	90%	83%
Retention	8%	21%
Referral	6%	54%
Revenue	n/a	1%
Lifetime value (LTV)	n/a	Minimal

He did this not by working harder but by working smarter, taking